Computational Economics

Lecture: Policy Function Iteration (PFI)

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Lecture Overview

- **Policy Evaluation**
  - The policy evaluation operator
  - Repeated updates and a linear system
- **Policy Function Iteration**
  - Evaluation and improvement in the maze
  - The algorithm and its optimality criterion
- **Computational Choices**
  - Generalized and modified policy iteration
  - Computational cost and continuous states

From Value Iteration to Policy Iteration

Given the current value estimate V_k, a VFI update separates into two steps:

1. **Policy improvement**: choose a policy greedy with respect to V_k:

$$\sigma_{k+1}(s) \in \arg\max_{a \in \mathcal{A}(s)} \{r(s,a) + \beta \mathbb{E}[V_k(s') \mid s, a]\}.$$

2. **Policy evaluation update**: hold σ_{k+1} fixed and update the value once:

$$V_{k+1}(s) = r(s, \sigma_{k+1}(s)) + \beta \mathbb{E}[V_k(s') \mid s, a = \sigma_{k+1}(s)].$$

Because the selected action is a maximizer, these steps give exactly the VFI update.

Policy evaluation computes a fixed policy's value. VFI takes only one update; generally, $V_{k+1} \neq V^{\sigma_{k+1}}$.

Policy function iteration (PFI) instead completes policy evaluation to obtain $V^{\sigma_{k+1}}$ before the next policy improvement.

The Policy Evaluation Operator

For a fixed policy σ, the **policy evaluation operator** T_σ maps a candidate continuation-value function V to an updated function:

$$(T_\sigma V)(s) = r(s, \sigma(s)) + \beta \mathbb{E}[V(s') \mid s, a = \sigma(s)].$$

- The action is supplied by $\sigma(s)$; this update does not choose a new action.
- The input V may be any bounded candidate function. It need not equal V^σ.

Policy evaluation means finding the fixed point:

$$V^\sigma = T_\sigma V^\sigma.$$

One application $T_\sigma V$ is one update; repeated updates compute the policy's value.

Iterative Policy Evaluation

Hold σ fixed. Choose V_0, and update all states using the same previous function:

$$V_{j+1}(s) = (T_\sigma V_j)(s) = r(s, \sigma(s)) + \beta \sum_{s' \in \mathcal{S}} P(s' \mid s, \sigma(s)) V_j(s').$$

The index j counts evaluation updates, not changes of policy.

As with the Bellman optimality operator, discounting gives a contraction:

$$\|T_\sigma V_1 - T_\sigma V_2\|_\infty \leq \beta \|V_1 - V_2\|_\infty.$$

Hence $V_j \to V^\sigma$. For a target evaluation error $\varepsilon_{\text{eval}} > 0$, compute

$$d_j = \|V_{j+1} - V_j\|_\infty, \qquad \|V_j - V^\sigma\|_\infty \leq \frac{d_j}{1 - \beta}.$$

Stop and return V_j when $d_j \leq (1 - \beta)\varepsilon_{\text{eval}}$.

Policy Evaluation as a Linear System

For finitely many states, collect the rewards and transition probabilities selected by σ:

$$r^\sigma(s) = r(s, \sigma(s)), \qquad P^\sigma(s, s') = P(s' \mid s, \sigma(s)).$$

Each row of P^σ describes the next-state probabilities under the policy's chosen action.

The policy's Bellman equation becomes

$$V^\sigma = r^\sigma + \beta P^\sigma V^\sigma \qquad \Longleftrightarrow \qquad (I - \beta P^\sigma) V^\sigma = r^\sigma.$$

- I is the identity matrix. There is one equation and one unknown value per state.
- Solve this linear system directly, or use repeated evaluation updates.
- A direct solve avoids an inner iteration; its cost grows with the number of states.

Example: Evaluating the Maze Policy

Use the same policy σ as before, now with $\beta = 0.9$.

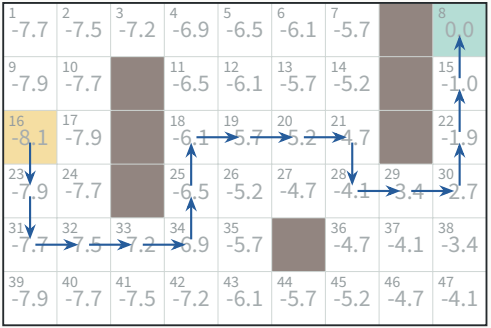


Figure 1: Discounted values under σ.

- Each move gives -1, including entry into cell 8; rewards afterward are zero.
- At cell 25, the policy chooses U to cell 18.

$$V^\sigma(8) = 0,$$
$$V^\sigma(25) = -1 + 0.9V^\sigma(18)$$
$$\approx -6.513.$$

At the starting cell, $V^\sigma(16) \approx -8.147$.

Cell values are rounded to one decimal place.

Example: Improving and Re-evaluating the Policy

Change only cell 25 to R: $\widetilde{\sigma}(25) = \mathrm{R}$; keep $\widetilde{\sigma}(s) = \sigma(s)$ elsewhere.

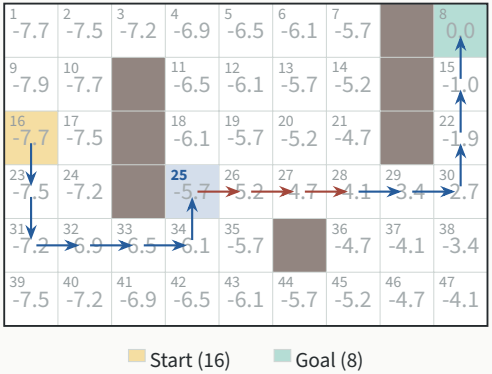


Figure 2: Re-evaluated values under $\widetilde{\sigma}$.

Policy improvement using V^{σ}:

$$Q^{\sigma}(25, \mathrm{U}) \approx -6.513,$$
$$Q^{\sigma}(25, \mathrm{R}) \approx -5.695.$$

Policy evaluation for the new policy:

$$V^{\widetilde{\sigma}}(25) \approx -5.695,$$
$$V^{\widetilde{\sigma}}(16) \approx -7.712.$$

The shortcut also improves values at states whose paths pass through cell 25.

Policy Function Iteration (PFI) Algorithm

0. **Input.** Finite state set $\mathcal{S}$, finite nonempty feasible action sets $\mathcal{A}(s)$, rewards $r(s,a)$, transition probabilities $P(s' \mid s,a)$, and discount factor β.
1. **Initialize.** Choose a feasible policy $\sigma_0(s) \in \mathcal{A}(s)$ for every state. Set $k = 0$.
2. **Policy evaluation.** Form r^{σ_k} and P^{σ_k}, then solve

$$(I - \beta P^{\sigma_k}) V^{\sigma_k} = r^{\sigma_k}.$$

3. **Compute action values.** For every feasible (s,a), compute

$$Q^{\sigma_k}(s,a) = r(s,a) + \beta \sum_{s' \in \mathcal{S}} P(s' \mid s,a) V^{\sigma_k}(s').$$

   Use this same evaluated V^{σ_k} for every action comparison.

PFI Algorithm (continued)

4. **Policy improvement.** For every state, select

$$\sigma_{k+1}(s) \in \arg\max_{a \in \mathcal{A}(s)} Q^{\sigma_k}(s, a).$$

   Keep $\sigma_k(s)$ if it is already a maximizer; otherwise use a fixed action order to break ties.

5. **Check the policy.**
   - If $\sigma_{k+1}(s) = \sigma_k(s)$ at every state, continue to **Step 6**.
   - Otherwise, set $k \leftarrow k + 1$ and return to **Step 2**.

6. **Return and stop.** Output the policy and its evaluated value:

$$\sigma^* = \sigma_k, \qquad V^* = V^{\sigma_k}.$$

The exact optimality statement uses exact policy evaluation. A numerical solve introduces rounding error; truncated evaluation introduces an additional approximation.

Policy Improvement and Optimality

Every greedy improvement satisfies the policy improvement theorem:

$$Q^{\sigma_k}(s, \sigma_{k+1}(s)) \geq V^{\sigma_k}(s) \quad \forall s \quad \Longrightarrow \quad V^{\sigma_{k+1}}(s) \geq V^{\sigma_k}(s) \quad \forall s.$$

When the policy does not change, it is greedy with respect to its own value:

$$V^{\sigma_k}(s) = \max_{a \in \mathcal{A}(s)} Q^{\sigma_k}(s, a) = (TV^{\sigma_k})(s).$$

Thus $V^{\sigma_k} = V^*$, by uniqueness of the Bellman optimality fixed point.

- Retaining the current action in a tie prevents changes between equally good actions.
- If the policy changes, its value strictly increases at some state.
- With finitely many deterministic policies, exact PFI therefore terminates at an optimal policy after finitely many improvements.

Generalized Policy Iteration

Generalized policy iteration (GPI) lets policy evaluation and policy improvement interact, allowing evaluation to stop before convergence.

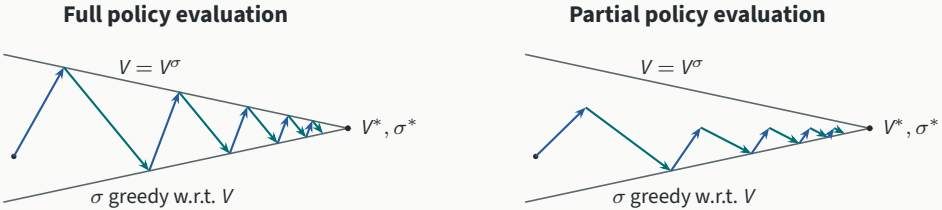


Figure 3: Full and partial policy evaluation within GPI (schematic).

Policy evaluation moves toward $V = V^\sigma$. **Policy improvement** makes σ greedy with respect to V.

At the intersection, both conditions hold: $V = T_\sigma V = TV$, so $V = V^*$ and σ is optimal.

Concept adapted from Sutton and Barto (2018), Section 4.6, pp. 86–87.

Modified Policy Iteration

In GPI, the evaluation arrows may stop short of full consistency. **Modified policy iteration** implements this using a fixed number $m \geq 1$ of policy evaluation updates between policy improvements.

1. **Policy improvement.** Choose a policy greedy with respect to the current candidate V_k:

$$\sigma_{k+1}(s) \in \arg\max_{a \in \mathcal{A}(s)} \{r(s,a) + \beta \mathbb{E}[V_k(s') \mid s, a]\}.$$

2. **Policy evaluation.** Hold σ_{k+1} fixed. Set $V_{k,0} = V_k$, then compute

$$V_{k,j+1} = T_{\sigma_{k+1}} V_{k,j}, \qquad j = 0, \ldots, m-1.$$

3. Set $V_{k+1} = V_{k,m}$ and repeat.

V_k is an approximate value, so an unchanged greedy policy alone does not certify optimality. Check the Bellman residual $\|TV_k - V_k\|_\infty$, as in VFI.

Choosing the Amount of Policy Evaluation

One policy evaluation update: VFI. Since σ_{k+1} is greedy with respect to V_k,

$$T_{\sigma_{k+1}} V_k = TV_k.$$

Setting $m = 1$ therefore gives $V_{k+1} = TV_k$.

Several policy evaluation updates: modified policy iteration. Extra updates reuse the chosen actions. They avoid a new maximization while refining the value estimate.

Full policy evaluation: PFI. Continuing evaluation to its fixed point gives $V^{\sigma_{k+1}}$; the next policy improvement uses that policy's value.

For a finite discounted MDP with bounded rewards, these exact updates converge to V^*, including any fixed $m \geq 1$.

The choice balances the cost of policy evaluation against the number of policy improvements.

Policy Iteration with Continuous States

For the consumption–saving model, the state s and saving choice a are continuous:

$$V^{\sigma}(s) = u(s - \sigma(s)) + \beta \mathbb{E}[V^{\sigma}(\sigma(s) + y)],$$

$$\widetilde{\sigma}(s) \in \underset{0 \le a \le \min\{s, M\}}{\arg\max} \{u(s - a) + \beta \mathbb{E}[V^{\sigma}(a + y)]\}.$$

Here y is income, and M is the saving limit.

- **Represent the value function:** store values on a grid and interpolate between grid points.
- **Compute expectations:** approximate the income integral using quadrature or simulation.
- **Choose actions:** search an action grid or use continuous optimization.

Solving the resulting finite MDP accurately does not eliminate its grid and integration errors.

References and Further Reading

1. **Richard S. Sutton and Andrew G. Barto (2018), Reinforcement Learning: An Introduction. 2nd ed. MIT Press. [Book]**
   - Chapter 4: Dynamic Programming
2. **Thomas J. Sargent and John Stachurski, QuantEcon. [Online lectures]**
   - Discrete State Dynamic Programming — Policy Function Iteration
   - Discrete State Dynamic Programming — Modified Policy Function Iteration